

You closed the loan.

Now collect your papers.

The five documents from my video, what each one should say, and a checklist you can tick off at the bank counter.

You commented "PDF", so here it is. In the video I listed the documents to collect after your last EMI. Most people pay the final amount, feel relieved, and go home. The papers stay with the bank. Years later, when they want to sell the house or the car, that's when it hurts. This guide goes one level deeper: what each paper should say, the RBI rule that protects you, and the small loose ends after closure.

- 1** **Paying the last EMI is step one.** The paperwork is what proves the loan is over, to anyone who asks later.
- 2** **RBI gives the lender 30 days** to return your original property documents and clear any charge. If they're late and it's their fault, they owe you ₹5,000 for every day of delay.
- 3** **"Closed" and "Settled" are different.** If you paid everything, your letter and your CIBIL report should both say Closed.

PAPERS TO COLLECT	RBI DEADLINE	DELAY PAYS YOU	CHECK CIBIL AFTER
5	30 days	₹5,000/day	30–45 days

Five papers that prove *the loan is over*

Here's the same list I gave in the reel, with one line on why each one matters.

1 The list at a glance

#	DOCUMENT	WHAT IT DOES FOR YOU
1	NOC (No Objection Certificate)	The lender says in writing it has no claim left on you or your asset.
2	Loan Closure Letter	Confirms the loan account is closed and nothing is pending.
3	Final statement / settlement letter	Shows the last payment and a nil (zero) balance. Proof of how the loan ended.
4	Release of collateral	Gets back whatever you pledged: gold, FD, vehicle papers, shares. The charge on it is removed.
5	Original property documents (and your loan agreement copy)	The most important one. Your sale deed and title papers, back in your hands.

Names vary by lender. Some banks combine the NOC and the closure letter into one letter. That's fine, as long as everything in Part 2 is on it.

THE ONE THING TO NOTICE

If a paper isn't in your hands, then on record the loan isn't fully over. Collect every one, and check what it says before you leave the counter.

ABOUT TWO ITEMS IN THE VIDEO

"Full and Final Settlement Letter": if you paid the full amount, what you want is a final statement or closure letter showing nil dues and the word **Closed**. In banking, "settlement" usually means the bank accepted *less* than what was owed, and that shows up on your credit report. Part 3 explains the difference.

"Original Loan Agreement": the signed agreement is the lender's record, so many banks keep it. What RBI says they *must* return is your original property documents. Keep your own copy of the agreement, and ask for any originals you handed over.

What these two letters *should say*

A letter with a typo in your name or the wrong account number is a headache later. Check these before you sign the receipt.

2 The details to check, line by line

CHECK	WHY IT MATTERS
Your full name, exactly as on the loan	Every borrower and co-borrower should be named. A spelling mismatch can stall an RTO or registration office.
Loan account number	Ties the letter to this specific loan. If you had two loans with the same bank, each needs its own letter.
Date of closure	The 30-day RBI clock (Part 5) starts from the day you fully repaid.
The words "nil dues" or "no outstanding"	This is the line that matters. It means you owe nothing more.
Asset details	Property address, vehicle registration and chassis number, or gold loan packet number.
Letterhead, signature and seal	An authorised signature on the lender's letterhead. Some lenders send a digitally signed PDF; save it in two places.

3 How to ask for them

- 1 Ask for a foreclosure statement first** if you're closing early. It shows the exact amount to pay, so nothing small stays pending.
- 2 Pay, and keep the payment proof.** Transaction ID or receipt.
- 3 Request the NOC and closure letter in writing**, by email or the lender's app, so the request has a date on it.
- 4 Check every line** from the table above. Ask for a corrected letter straight away if something is off.

A SHORTCUT I USE NOW

Scan every paper the same day and save it in one folder named with the loan number. Physical copy in one place, digital copy in another.

One word on the letter *changes your CIBIL*

This took me a while to get. Both words sound like "done", but lenders and credit bureaus read them very differently.

4 The difference

	CLOSED	SETTLED
What happened	You paid every rupee, principal and interest.	The lender agreed to take less than the full amount (often called a one-time settlement, OTS).
Paper you get	NOC and closure letter showing nil dues.	Settlement letter stating the agreed amount and that the account is settled.
On your credit report	Status: Closed . Good for your history.	Status: Settled . Future lenders see it and may hesitate or charge more.
Can it be changed later?	Already the best status.	Many lenders let you pay the waived amount later and update the status to Closed. Ask in writing.

Based on how credit bureaus and lenders describe these statuses. Exact treatment depends on the lender.

WHAT FINALLY SETTLED IT FOR ME

If you paid in full, make sure no paper and no report says "Settled". If you did take a settlement, keep that letter safely forever. It's the only proof of what was agreed.

GOOD TO KNOW

Some lenders call the last payment a "full and final payment" in their own letters even when you paid everything. That wording is fine. What you're checking is the **account status**: it should say Closed, and your credit report should match.

Getting back *what you pledged*

Collateral (adamaanam) is what you gave as security. Each loan type has its own release step. Find yours below.

5 By loan type

LOAN TYPE	WHAT TO COLLECT	EXTRA STEP AFTER
Home loan / loan against property	All original title documents (sale deed, parent documents, approved plan, receipts you submitted). Count them against the list in your sanction letter.	If a mortgage (MODT) was registered at the sub-registrar office, it has to be cancelled with a release / receipt deed. Then take an Encumbrance Certificate (EC) to confirm the charge is gone. In Tamil Nadu, you start both on the TNREGINET portal; the cancellation deed is then registered at the sub-registrar office.
Car or two-wheeler loan	NOC addressed to the RTO, plus Form 35 signed by the lender.	Apply for "Hypothecation Termination" on the Parivahan / VAHAN portal so the bank's name comes off your RC. Then update your motor insurance too.
Gold loan	Your jewellery, and the closed pledge receipt.	Check each piece against the pledge list and weigh it at the counter before you sign. For gold loans taken from 1 April 2026, RBI says the gold must come back within 7 working days of full repayment, or ₹5,000 a day if the lender delays.
Loan against FD, insurance or mutual funds / shares	Letter confirming the lien (block) is removed.	Log in and check the FD, policy or folio no longer shows a lien or pledge.
Personal loan (no collateral)	NOC and closure letter.	Unused cheques back, and the auto-debit cancelled (Part 6).

Process names and portals as on official state and transport websites, October 2026. Fees and timelines vary by state and RTO.

THE ONE THING TO NOTICE

Getting the papers back is half the job. The other half is clearing the record: the EC for your house, the RC for your vehicle, the lien for your FD.

The RBI rule *on your side*

This is the one I called "romba important" in the video. RBI has a clear rule on it, and most borrowers have never heard of it.

6 What the rule says

RULE	WHAT IT MEANS FOR YOU
30 days	The lender must return all original movable and immovable property documents, and remove any charge registered with any registry, within 30 days of full repayment or settlement.
Your choice of place	You can collect them from the branch that serviced your loan, or any other office of the lender where the documents are kept.
Written in your sanction letter	The sanction letter has to mention when and where the documents will be returned. Worth a look before you go.
₹5,000 a day for delay	If the delay is the lender's fault, they must tell you why, and pay you ₹5,000 for each day beyond 30 days.
Lost or damaged papers	The lender must help you get duplicate or certified copies and bear the cost. They get 30 more days for this (60 in total) before the ₹5,000/day applies.
If the borrower passes away	Every lender must have a set process for returning the documents to the legal heirs, published on its website.

RBI circular RBI/2023-24/60 dated 13 September 2023, applicable from 1 December 2023, now part of RBI's Responsible Business Conduct Directions (2025). Covers banks (including co-operative banks and RRBs), NBFCs and housing finance companies, for personal loans: loans to individuals for non-business use, which includes home, vehicle, gold and education loans.

7 If it's taking longer

- 1 Write to the lender** (email or grievance portal) with your loan number and closure date. Keep the complaint number.
- 2 If there's no reply in 30 days**, or the reply doesn't help, file with the RBI Ombudsman at cms.rbi.org.in. It's free.

Small things that *finish the job*

These aren't in the video, but they're the ones people remember six months later, usually when something gets debited.

8 After the papers are in your hands

- 1 **Cancel the auto-debit (NACH / ECS mandate).** Ask the lender to cancel it, then check with your own bank that it shows as cancelled.
- 2 **Get unused cheques back.** Any post-dated or security cheques you gave at the start. Ask for them, or a letter saying they were destroyed.
- 3 **Take the final interest certificate.** For a home loan, you need it for the tax deduction in your last year of payments.
- 4 **Ask about any extra amount** you paid. Check the final statement for a refund due to you.
- 5 **Check your credit report after 30 to 45 days.** The loan should show as Closed with zero balance. You get one free full report a year from each credit bureau (CIBIL, Experian, Equifax, CRIF High Mark).
- 6 **Update your insurance.** For a vehicle, remove the bank's name. For a loan-linked insurance policy, check what happens to it now.

IF CIBIL STILL SHOWS THE LOAN AS ACTIVE

Raise a dispute on the credit bureau's website and attach your NOC. RBI gives the lender and the bureau 30 days together to fix it (21 for the lender, 9 for the bureau). If it takes longer, you get **₹100 for every day** of delay, paid to your bank account. This applies to complaints raised from 26 April 2024.

Print this. *Tick it at the counter.*

Everything from this guide in one page. Skip the lines that don't apply to your loan.

Lender and branch:

Loan account number:

Date of full repayment:

30-day date (repayment + 30):

A The papers

- | | |
|--|--------|
| ☐ NOC with correct name, loan number, "nil dues", signature and seal | Part 2 |
| ☐ Loan closure letter with status Closed | Part 2 |
| ☐ Final statement showing nil balance (or settlement letter, if you took an OTS) | Part 3 |
| ☐ Collateral released: gold weighed / lien removed / Form 35 received | Part 4 |
| ☐ All original property documents , counted against the sanction letter list | Part 5 |
| ☐ Your copy of the loan agreement and any originals you submitted | Part 1 |

B Clearing the record

- | | |
|---|------------------|
| ☐ Mortgage (MODT) cancelled and fresh Encumbrance Certificate taken | Home loan |
| ☐ Hypothecation removed from RC, and insurance updated | Vehicle loan |
| ☐ Credit report shows Closed, zero balance | After 30–45 days |

C Loose ends

- | | |
|---|--------|
| ☐ Auto-debit (NACH / ECS) cancelled, checked with your own bank | Part 6 |
| ☐ Unused cheques returned or destruction letter received | Part 6 |
| ☐ Final interest certificate and any refund collected | Part 6 |
| ☐ Everything scanned and stored in two places | Part 2 |

The glossary, *in plain words*

Bank counters love short forms. Here's what each one means, and how I'd say it in Tamil.

NOC

NO OBJECTION CERTIFICATE

The lender's letter saying it has no more claim on you or your asset.

"Bank ku ini onnum baaki illa nu letter."

Collateral

SECURITY FOR A LOAN

The asset you pledge so the lender feels safe lending to you.

"Loan ku adamaanam vechadhu."

Nil dues

ZERO BALANCE

Nothing left to pay on the loan.

"Kattavendiyadhu zero."

Foreclosure

CLOSING A LOAN EARLY

Paying off the whole loan before the planned end date.

"Tenure mudiyaradhukku munnadiye full ah kattradhu."

OTS

ONE-TIME SETTLEMENT

The lender accepts less than the full amount to end the loan. Shows as "Settled".

"Kammiya katti mudichadhu. CIBIL la theriyum."

Hypothecation

BANK'S CLAIM ON A VEHICLE

You use the vehicle, but the bank's name is on the RC until the loan is closed.

"RC la bank peru irukkum."

Form 35

RTO FORM

The form, signed by you and the lender, to remove the bank's name from your RC.

"RC la irundhu bank peru edukka form."

RC

REGISTRATION CERTIFICATE

The official record of your vehicle and its owner.

"Vandi yaaru perla irukku nu kaatra paper."

MODT

MEMORANDUM OF DEPOSIT OF TITLE DEEDS

The record that you gave your property papers to the bank as security.

"Veetu paper bank la vechadhukku proof."

EC

ENCUMBRANCE CERTIFICATE

A government record of every registered deal and charge on a property.

"Veetu mela yaaru claim irukku nu kaattum."

Lien

BLOCK ON AN ASSET

A hold on your FD, policy or shares, so you can't withdraw or sell until the loan is closed.

"FD mela bank lock pottirukku."

NACH / ECS

AUTO-DEBIT MANDATE

Your permission for the lender to take the EMI from your account every month.

"Maasa maasam auto ah EMI cut aagum."

CIBIL

A CREDIT BUREAU

One of four companies that keep your loan and repayment history. Lenders check it.

"Unga loan history report card."

Sanction letter

LOAN APPROVAL LETTER

The letter with your loan's terms, including where your documents will be returned.

"Loan approve aana podhu kodutha letter."

Ombudsman

RBI COMPLAINT OFFICER

A free RBI service for complaints the bank hasn't resolved.

"Bank kekkalana, RBI kitta complaint."

Where the *rules* come from

Every rule in this guide was checked against the source below, as of October 2026.

1. **30-day return, ₹5,000/day, lost documents, legal heirs:** RBI circular "Responsible Lending Conduct: Release of Movable / Immovable Property Documents on Repayment / Settlement of Personal Loans", 13 September 2023, effective 1 December 2023. Carried into RBI's Responsible Business Conduct Master Directions, 28 November 2025 (rbi.org.in).
2. **₹100/day for credit report disputes, 21 + 9 days:** RBI framework for compensation for delayed updation / rectification of credit information, effective 26 April 2024; as published by TransUnion CIBIL (cibil.com/framework-for-compensation).
3. **Vehicle hypothecation removal, Form 35:** Parivahan / VAHAN online service "Hypothecation Termination"; process as described by lenders (Ujjivan SFB, Bajaj Finserv), 2026.
4. **MODT cancellation and EC in Tamil Nadu:** TNREGINET (Tamil Nadu Registration Department) online services; process summary from BankBazaar and Bajaj Finserv guides.
5. **Closed vs Settled status:** credit bureau and lender explainers (CIBIL, ClearTax, RBL Bank, Bajaj Housing Finance).
6. **Gold returned within 7 working days, ₹5,000/day:** RBI (Lending Against Gold and Silver Collateral) Directions, 2025, applicable from 1 April 2026.
7. **Free credit report:** RBI direction of 2 September 2016, one free full credit report a year from each credit bureau.
8. **RBI Ombudsman:** Reserve Bank Integrated Ombudsman Scheme, 2026 (effective 1 July 2026). Complaint allowed if the lender doesn't reply in 30 days or rejects it; no fee; cms.rbi.org.in.

Rules can be updated by RBI at any time. Fees and timelines for RTO and sub-registrar work vary by state and office.

DISCLAIMER

This guide is for education only. It is not financial, tax or legal advice, and it does not recommend any specific bank, NBFC or service. I am not a SEBI-registered investment adviser or a lawyer. The RBI rules described here apply mainly to personal loans from RBI-regulated lenders; business loans and other lenders may follow different terms. Processes, fees and rules can change. Check your own loan agreement and sanction letter, and speak to your lender or a qualified professional before acting.

Closed a loan recently? *Tell me which paper you missed* in the comments.

Free to share. Made by Abinash at [@buildwithabinash](https://buildwithabinash.com). Send this to a friend who's about to pay their last EMI.